

ON THE JOB

10

MILLION

► Target for youth internships across a five-year period

0.12

MILLION

► Target for internships in the pilot project

25

SECTORS

► Where internship opportunities are available

₹800

CRORE

► Initial budget allocated by the government for scheme

Dec 2

► Likely date when selected candidates will start internships

hood; Co-founder, Akasa Air; and Founder, Homage.

More than 900,000 candidates have already registered on the portal just days after its launch, seeking a 12-month paid internship with these firms. This opportunity promises real-life experience and insight into employer expectations, aiming to address the employability gap that haunts India's workforce, where one in two graduates struggle to find employment immediately after college.

"The demand for skilled manpower in India has crossed 103 million in 2022, and the supply fell short by 29 million... This collaboration between industry leaders and academia not only provides valuable insights into real-world business operations through experiential learning processes but also fosters networking opportunities that can lead to future employment," points out Sumit Kumar, Chief Strategy Officer of TeamLease Degree Apprenticeship.

The scheme, which was announced in the Union Budget 2024-25, was finalised after active discussions with industry, ensures that largely candidates from marginalised and economically weaker sections are able to use these opportunities that could help them land a job in the future. Accordingly, guidelines for the scheme are stringent.

Candidates aged 21 to 24 years, who have passed Class X and are not currently employed full-time, are eligible to apply. However, those passing out of IITs, IIMs, IISER, or holding professional degrees such as chartered accountants or cost accountants are not eligible to register for the scheme. Individuals from families with government jobs and those with a family income of ₹8 lakh per annum are excluded.

A reservation policy has also been introduced in the scheme to facilitate applications from candidates belonging to backward classes, Scheduled Castes and Scheduled Tribes as well

as those with physical disabilities.

For now, the government has allocated ₹800 crore for the pilot project, which will cover the ₹6,000 one-time grant of incidental expenses and a monthly stipend of ₹4,500 for each intern. The company will pay an additional ₹500 per month to each candidate.

But the real challenge will begin when candidates are shortlisted and selected. A clear demand supply mismatch is already evident between the number of internships on offer and the candidates registering on the portal.

Industry insiders expect that this list of candidates will get significantly reduced during the shortlisting phase based on the eligibility criteria. Every company will receive a shortlist of three candidates for each internship position, from which they can select. Candidates will get up to three internship opportunities to choose from. It is expected that these interns will hit the shop floor by early December.

There also remain concerns about at least some candidates leaving the internship midway due to whatever may be the reason as well as internship opportunities in states that do not have an adequate industrial presence.

The pilot run is likely to iron out some of these issues, and any other challenges could lead to adjustments in the larger scheme, which aims to provide such opportunities to 10 million youth over a five-year period. The government is expected to finalise a larger-scale scheme for internships, which it could possibly take to the Cabinet for approval, in early 2025.

Along with the employment-linked initiative scheme that is also set to be implemented soon, the internship scheme is a bold start that actually provides solutions to address India's huge unemployment problem. **BT**

@surabhi_prasad